



Jeffrey Stacey

Chairman and CEO, Stacey Muirhead Capital Management





Jeff Stacey

Stacey Muirhead Capital Management



January 2025



Disclaimer

Stacey Muirhead Capital Management Ltd. (the “Firm”) is not providing investment advice through this material. This presentation is provided for informational purposes only as an illustration of the Firm’s investment philosophy and shall not be considered investment advice or a recommendation or solicitation to buy or sell any securities discussed herein, and does not contain enough information to be considered a recommendation or a research report.

As of the date of this presentation the Firm continues to own the securities discussed herein. These opinions are not intended to be a forecast of future events, a guarantee of future results, or investment advice. Past performance is not indicative of future results, and no representation or warranty, express or implied, is made regarding future performance.

The Firm may engage in securities transactions that are inconsistent with this communication and may have long or short positions in such securities. The information and any opinions contained herein are as of the date of this material, and the Firm does not undertake any obligation to update them.

This material does not take into account individual investor circumstances, objectives, or needs and is not intended as a recommendation to any person who is not a client of the firm. Securities, financial instruments, products or strategies mentioned in this material may not be suitable for all investors. The Firm does not provide tax advice. Investors should seek tax advice based on their particular circumstances from an independent tax advisor.

In reaching a determination as to the appropriateness of any proposed transaction or strategy, investors should undertake a thorough independent review of the legal, regulatory, credit, accounting and economic consequences of such transaction in relation to their particular circumstances and make their own independent decisions. By virtue of this publication, neither the Firm nor any of its employees shall be responsible for any investment decision.

This confidential presentation contains information that has been compiled, by the Firm, from sources believed to be reliable; however, there can be no guarantee as to the accuracy or completeness of such information. It also contains statements, estimates and projections made by various third party companies with respect to their historical and projected performance. There can be no assurance that such statements, estimates and projections will be realized and actual results may vary materially from those indicated. Further, in any case, the Firm does not represent nor is affiliated with any of the third party companies and other entities named and makes no representations as to the reasonableness of such assumptions or the accuracy or completeness of the information contained herein. These materials are for the confidential use of only those persons to whom it is transmitted.



What Are We Looking For?

Does it possess outstanding business economics?



Does it have honest and capable management?



Can it be purchased at an attractive price?



GREAT BUSINESS

GREAT PEOPLE

GREAT PRICE



Past “Best Ideas”

Year	Name	Recommended Price	Current Price	Price Gain
2020	CPL Resources	€7.50	€11.25 *	50.0%
2021	Fairfax Financial	\$340.94	\$1,390	307.7%
2022	Fairfax India	\$12.61	\$16.01	27.0%
2023	Fairfax India	\$12.28	\$16.01	30.4%
2024	Capri Holdings	\$50.24	\$21.06	(58.1%)

* Merger with Outsourcing Inc. completed in January 2021

All figures are in USD unless otherwise noted



FAIRFAX INDIA

Fairfax India Holdings

Corporate Overview

Fairfax India Holdings Corporation is an investment holding company whose objective is to achieve long term capital appreciation by investing in public and private equity securities and debt instruments in India and Indian businesses.



Fairfax India Holdings

Background

- Fairfax Financial has an excellent long-term record in India
- Fairfax India IPO was completed on 01/30/15
- Fairfax Financial owns 43.4% and OMERS owns 15.1%
- Investment support from Fairbridge Capital in Mumbai
- IFRS investment entity accounting
- Book Value/Share is a “rough” proxy for intrinsic value



Fairfax India Holdings

Unique Business Model

- Public or private equities
- Debt instruments
- Significant ownership or portfolio investment
- Ability to partner with quality investors
- Flexible capital structure
- Long duration asset with no defined end date



Fairfax India Holdings

Market Data

• Current Share Price (12/31)	\$16.01
• Shares Outstanding (09/30)	135,152,447
• Market Capitalization	\$2.16 B
• Book Value/Share (09/30)	\$21.67
• Total Cash and Investments	\$3.71 B

All figures are in USD unless otherwise noted



Fairfax India Holdings

Recent Corporate Developments

- Management Succession Plan appointments include Ben Watsa and Gopal Soundarajan
- Acquisition of 65% equity interest in Global Aluminium Private Limited completed on October 10th
- Acquisition of further 10% equity interest in BIAL announced on December 3rd



Does it possess outstanding
business economics?



Fairfax India Holdings

The Record

(\$ millions, except per share data)	2023	2022	2021	2020	2019	2015
Book value per share	21.85	19.11	19.65	16.37	16.89	9.50
Investments per share	28.21	24.29	25.32	20.51	21.21	9.35
Common shareholders' equity	2,959	2,642	2,775	2,447	2,578	1,013
Shares outstanding (millions)	135.4	138.3	141.2	149.5	152.6	106.7
Total cash and investments	3,819	3,358	3,577	3,066	3,237	997

Consistent Value Creation

Source: Fairfax India Presentation (04/10/2024)



Fairfax India Holdings

Growth in Book Value

<u>Compound Annual Growth Rate</u>	<u>At December 31, 2023</u>
	9 Years (Since IPO)
Fairfax India's book value per share	9.2%
Fairfax India's Public Indian Investments	22.4%
US\$ S&P BSE Sensex 30	7.1%
<u>% Change</u> INR / USD	(25.6%)

Source: Fairfax India Presentation (04/10/2024)



Fairfax India Holdings

Solid Returns on Investments

Gains and Returns Since Inception

At December 31, 2023

	Net Gains*	Annual Return
Listed Companies	812	22%
Private Companies	<u>966</u>	<u>10%</u>
Existing Investments (Unrealized)	1,778	13%
Partial Sales	187	28%
Fully Exited Positions	<u>537</u>	<u>17%</u>
Monetized Investments (Realized)	724	18%

* Includes cumulative interest and dividends received

Source: Fairfax India Presentation (04/10/2024)



Fairfax India Holdings

Investments



SEVEN ISLANDS



Fairfax India Holdings

Summary of Investments (09/30/24)

	<u>Amount</u>	<u>%</u>
Public Indian Investments	\$1,113,045	30.0%
Private Indian Investments	2,308,488	62.3%
Other	<u>285,656</u>	7.7%
	<u>\$3,707,189</u>	

All figures in \$ thousands



Fairfax India Holdings

Summary of Investments (09/30/24)

<u>Name</u>	<u>Carrying Value</u>
Bangalore International Airport	\$1,614,500
IIFL Companies	755,074
Sanmar Chemicals Group	252,196
Seven Islands Shipping	165,763
Maxop	74,644
Jaynix	58,200
Saurashtra Freight	56,932
NCML	45,162
Cash and Other Investments	<u>729,880</u>
Total Cash and Investments	<u>\$3,707,189</u>

All figures in \$ thousands



Fairfax India Holdings

Financial Position (09/30/24)

Debt – matures in 2028	\$498,218
Common Equity	\$2,928,425
Debt to Equity Ratio	.17 to 1

All figures in \$ thousands



Fairfax India Holdings

Share Repurchases

- 246,062 shares in 2024 for \$3.6 million or \$14.72 per share
- 2.9 million shares in 2023 for \$37 million or \$12.97 per share
- Since inception, 22.2 million or 14.2% of the total shares outstanding for \$288.6 million or \$13.00 per share
- Fairfax Financial directly purchased 5.4 million additional shares at \$12.00 per share in 2022



Bangalore International Airport Limited



Fairfax India Holdings - BIAL

- World's fastest growing airport and India's third largest airport
- Strategic position in southern India
- Second runway completed in 2019
- Second terminal completed in 2022
- Record 37.5 million passengers and 439,524 MT of cargo in FY 2024
- Current valuation of \$2.5 Billion (100% basis) is extremely conservative



Fairfax India Holdings

Does it possess superior business economics?

- Reasonable long-term growth in book value/share
- Unique business model
- Diverse holdings with solid growth prospects
- Attractive valuations of underlying holdings
- Accretive share repurchases
- Strong Financial Position



Does it have honest and
capable management?



Fairfax India Holdings

- Prem Watsa owns 1,267,880 Fairfax Financial common shares
- Prem Watsa owns 320,000 Fairfax India common shares
- Other officers and directors own common shares in both companies
- Capital allocation and investment program includes an active share repurchase program
- Excellent board of directors
- Fairfax India benefits from Fairfax Guiding Principles



Fairfax India Holdings

Does it have honest and capable management?

- “Skin in the Game”
- Capital allocation record/share repurchases
- Excellent Board of Directors
- Unique corporate culture



Can it be purchased at an attractive price?



Fairfax India Holdings

Current Price (12/31) \$16.01

Book Value/Share (09/30) \$21.67

Discount 26.1%

Fair Value Adjustment +\$10.00 ????

Discount 49.5%



Fairfax India Holdings

Summary

Great Business

Great People

Great Price

